STREAM®

The Quarter

INDUSTRIAL MARKET REPORT



Q2 2026 | CHICAGO

Changing the landscape of commercial real estate™

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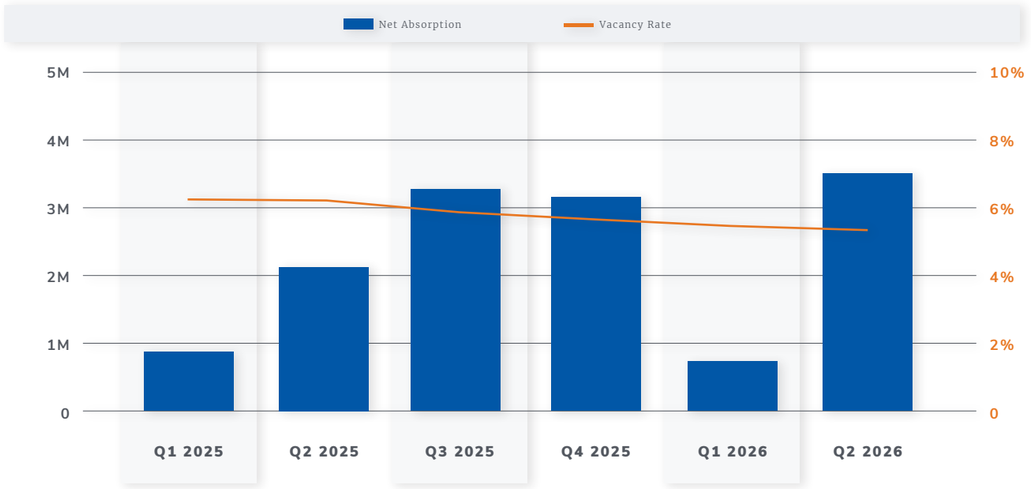
Market Summary

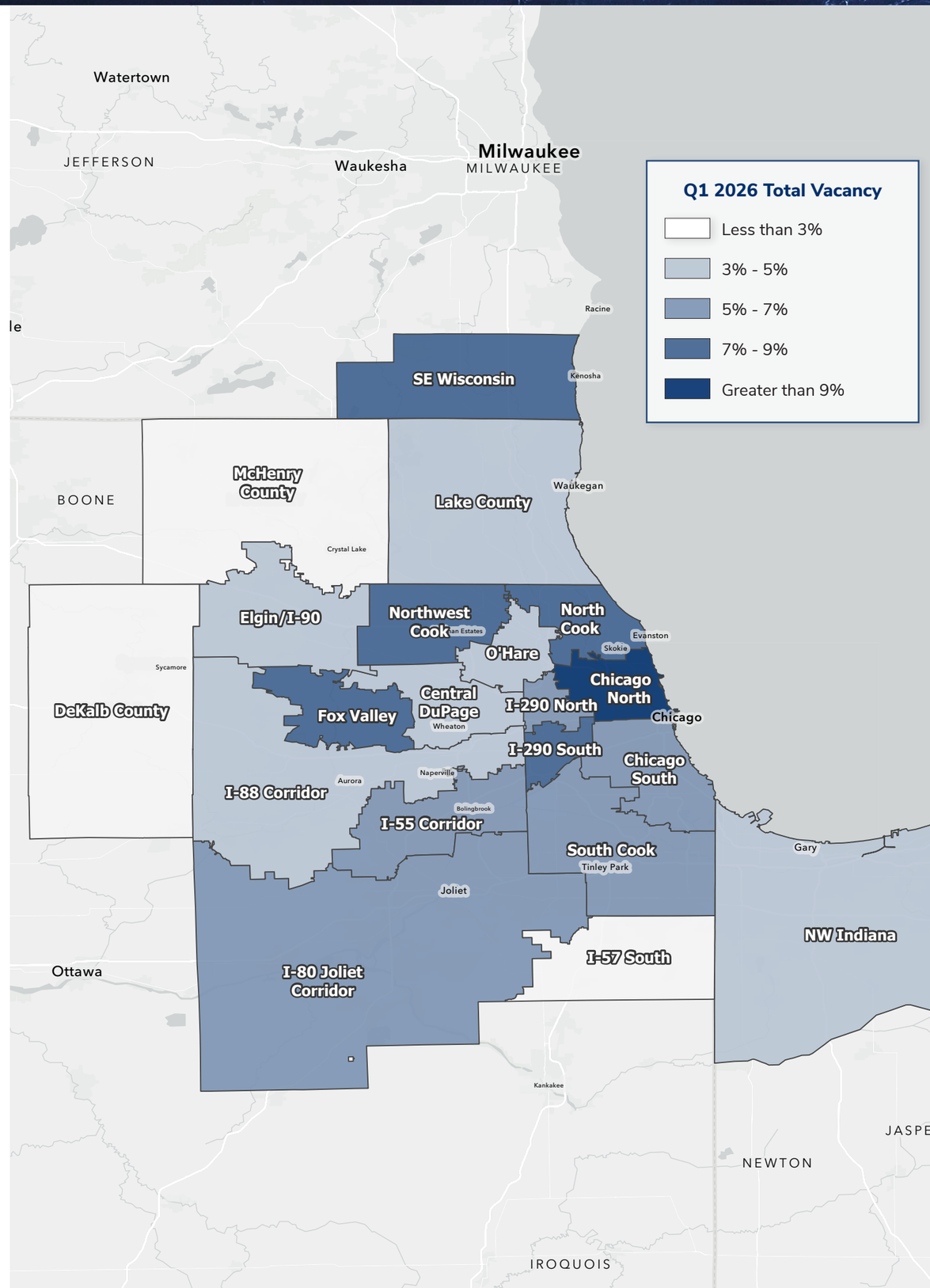
5.6%	1.2B	3.5M	18.4M
OVERALL VACANCY RATE	TOTAL INVENTORY (SF)	NET ABSORPTION (SF)	UNDER CONSTRUCTION (SF)

Market Trends

- Chicago industrial vacancy fell to 5.58% in Q2 2026, improving from 5.77% in Q1 2026 and down from 6.15% a year ago, reflecting continued tightening and a gradual rebalancing of supply and demand across the Chicago industrial market.
- Leasing activity remained healthy in Q2 2026, with new leasing activity totaling 9.5 million SF, an increase over the prior quarter. While overall volume slipped slightly from Q1's strong pace, the growth in new leases signals sustained tenant demand across the market.
- Net absorption totaled 3.5 million SF in Q2 2026, a significant acceleration from the prior quarter, led by big-box move-ins and owner-user acquisitions.
- The development pipeline continued to expand, with 60 projects under construction exceeding 18.4 million SF. The average building size under construction is 306,391 SF.
- Ten new facilities completed construction, bringing 1.1 million SF of new supply to eight submarkets. Roughly half of the new supply delivered on a speculative basis, down from 69% reported in the prior quarter.

Net Absorption vs. Vacancy



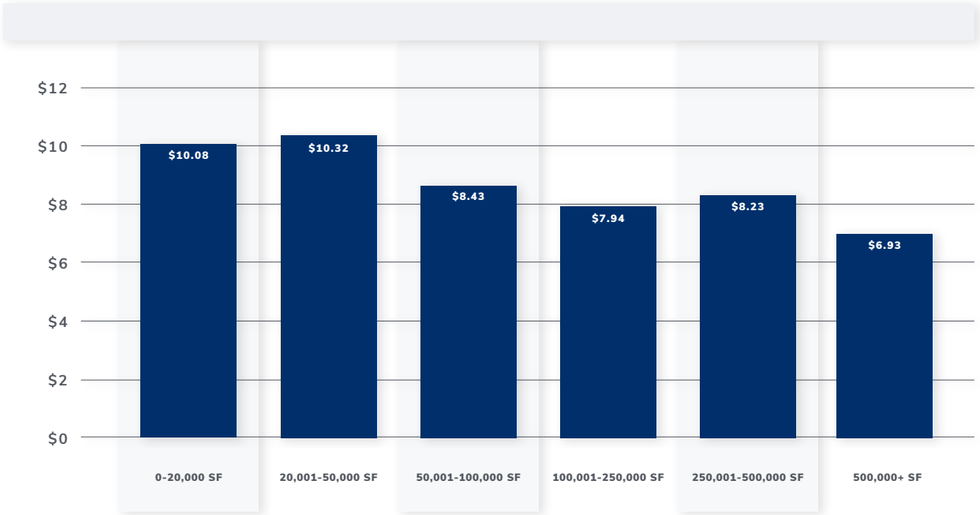


Leasing Activity

Leasing momentum carried into the second quarter, with tenants inking 151 deals totaling just under 15 million SF. The composition of that activity stands out: new leases accounted for 9.5 million SF — more than 60% of the total and a step up from the first quarter — a sign tenants aren't just staying put, they're expanding. The I-80 Joliet Corridor led all submarkets for the second straight quarter with 3.2 million SF, powered by KeHE Foods' nearly 1.2 million SF new lease in Joliet and Hyundai Translead's 906,517 SF deal in Channahon. O'Hare ranked second with 2.7 million SF spread across 43 transactions — evidence of steady, broad-based demand in the market's densest infill submarket — while the I-55 Corridor posted 2.3 million SF, headlined by Distribution 2000's 453,568 SF new lease in Romeoville.

Renewal activity added another 3.5 million SF across 34 transactions, as established tenants opted to stay in place amid a tightening market. Diageo's 361,000 SF renewal in Bolingbrook and RJW Logistics' 356,621 SF commitment in Woodridge led the way, followed by Tesla in Lockport and Menasha Packaging in Barrington. Several tenants paired renewals with growth — including HH Global, which renewed and expanded into 434,913 SF in Somers — a signal that tenants are committing to grow in place, not merely hold ground.

Average Deal Size vs. Starting Rent



Key Lease Transactions



KeHE Foods

Address: 21533 Cherry Hill Rd, Joliet
Submarket: I-80 Joliet Corridor
SF Leased: 1,195,754
Lease Type: New Lease



Hyundai Translead

Address: 3835 Youngs Rd, Channahon
Submarket: I-80 Joliet Corridor
SF Leased: 906,517
Lease Type: New Lease



Distribution 2000

Address: 1120-1140 Remington Blvd, Romeoville
Submarket: I-55 Corridor
SF Leased: 453,568
Lease Type: New Lease



HH Global

Address: 8725 31st St, Somers
Submarket: SE Wisconsin
SF Leased: 434,913
Lease Type: Renewal/Expansion



Custom Goods

Address: 21520-21540 SW Frontage Rd, Shorewood
Submarket: I-80 Joliet Corridor
SF Leased: 376,006
Lease Type: New Lease



Diageo

Address: 1701 Remington Blvd, Bolingbrook
Submarket: I-55 Corridor
SF Leased: 361,000
Lease Type: Renewal



RJW Logistics

Address: 2601 Internationale Pky, Woodridge
Submarket: I-55 Corridor
SF Leased: 356,621
Lease Type: Renewal



Tesla Motors

Address: 16342 W 163rd St, Lockport
Submarket: I-80 Joliet Corridor
SF Leased: 308,988
Lease Type: Renewal



CoreCentric Solutions

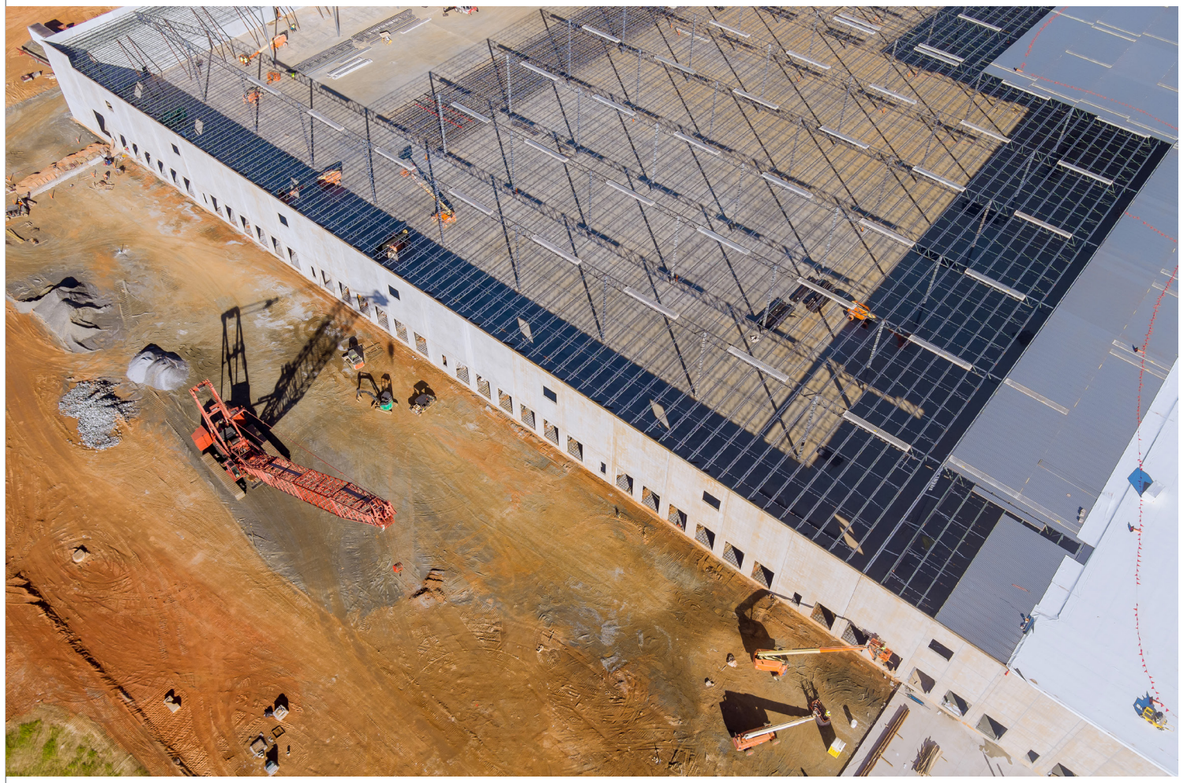
Address: 1717 W Harvester Rd, West Chicago
Submarket: Fox Valley
SF Leased: 282,622
Lease Type: New Lease

Construction Activity

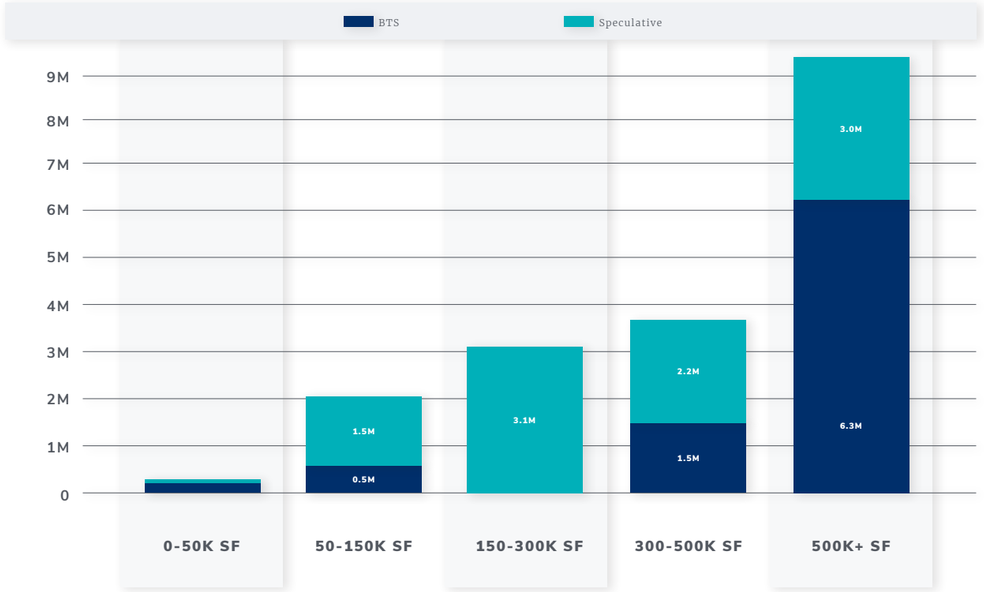
Construction activity climbed in Chicago with more than 18.4 million SF underway across 60 buildings in Q2 2026, up from just over 15 million SF last quarter. The I-80 Joliet Corridor leads the market with 4.6 million SF (25% of the pipeline), followed by the I-55 Corridor (3.2 MSF) and Northwest Indiana (2.5 MSF), and development remains broad-based with six submarkets reporting at least 1.1 million SF underway at mid-year. Ten new projects broke ground in the quarter, adding 1.8 million SF, led by NorthPoint Development's 428,900 SF speculative building at 90 & Randall Logistics Park in Algonquin.

The pipeline is now nearly balanced between speculative (9.8 MSF, 53%) and build-to-suit (8.6 MSF, 47%) construction, reflecting growing BTS momentum anchored by major commitments at Elion Logistics Park 55 in Wilmington, where facilities for Kimberly Clark (1.5 MSF) and GreenBox Systems (1.1 MSF) are underway. While 57% of the pipeline is pre-leased, spec pre-leasing remains muted at 18% amid a still-selective leasing environment.

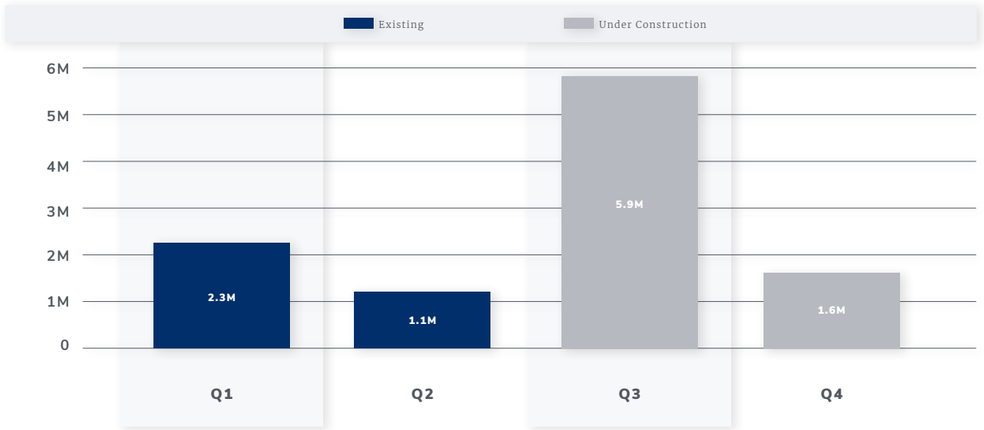
Deliveries moderated in the second quarter, with eleven facilities completing for 1.1 million SF of new supply, down from 2.3 million SF in Q1. The largest was the 294,840 SF Arcadia Cold Storage build-to-suit in Joliet, while spec completions were led by The Missner Group's 180,900 SF development at 4002 S. Princeton Ave in Chicago.



Under Construction by Building Size



2026 Delivery Schedule

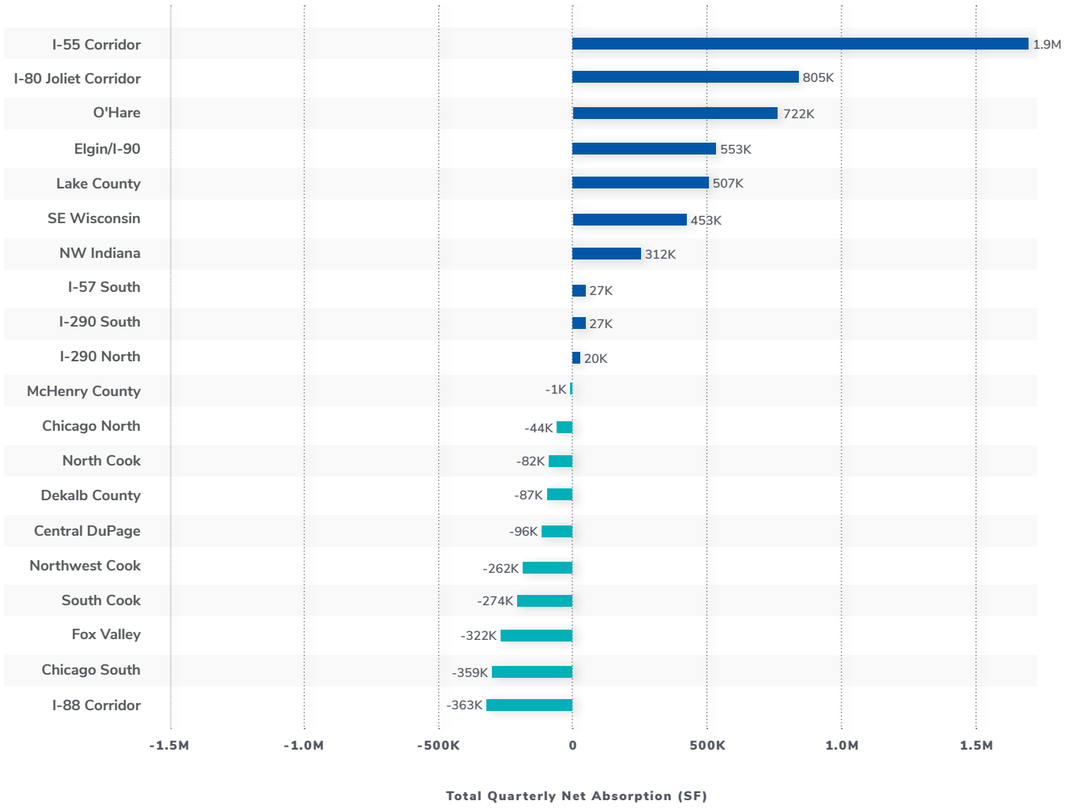


Net Absorption

Chicago's industrial market recorded 3.5 million SF of net absorption in Q2 2026, signaling renewed momentum among big-box users. Elogistek's 648,960 SF move-in at 160 Southcreek Parkway in Romeoville marked the largest occupancy of the quarter and helped drive nearly 1.2 MSF of positive absorption in Romeoville alone. Owner-user sale activity was a notable demand driver in Q2, with three acquisitions exceeding 300,000 SF as occupiers signaled long-term commitment to the market. Gains were far from concentrated, however, with major occupancies landing across the I-55 and I-80 corridors, O'Hare, Northwest Indiana, and Southeast Wisconsin — a sign of well-distributed demand throughout the metro.

The largest vacancy of the quarter took place at 2400 W. Central Road in Hoffman Estates, where Claire's vacated 547,135 SF in a consolidation to a smaller Elgin facility. Absorption would have climbed higher if not for new vacant deliveries: of the six speculative facilities completed in Q2, only one delivered partially pre-leased, adding nearly 471,000 SF of vacant space to the quarter's totals.

Net Absorption by Submarket



Market Statistics by Submarket

Submarket	Inventory	Direct Vacancy (%)	Sublease Vacancy (%)	Total Vacancy (%)	Quarterly Net Absorption (SF)	Under Construction (SF)	Deliveries (SF)	Total Leasing Activity (SF)
Central DuPage	72,839,939	3.0%	0.8%	3.9%	(96,316)	429,562	100,000	1,104,771
Chicago North	39,772,264	10.6%	0.5%	11.2%	(44,059)	67,593	0	63,664
Chicago South	130,813,753	5.4%	0.4%	5.8%	(358,756)	1,121,450	180,900	80,239
Dekalb County	17,026,500	2.9%	0.0%	2.9%	(86,870)	0	0	0
Elgin/I-90	43,184,915	4.1%	0.3%	4.5%	552,531	822,971	61,858	763,176
Fox Valley	41,301,594	7.0%	1.1%	8.1%	(322,213)	1,242,905	0	445,422
I-290 North	54,335,539	5.3%	0.7%	6.0%	20,031	602,499	0	660,318
I-290 South	21,955,477	8.2%	0.0%	8.2%	26,743	0	0	444,846
I-55 Corridor	104,981,673	5.3%	0.5%	5.9%	1,927,938	3,178,210	64,421	2,282,678
I-57 South	20,206,694	0.0%	0.0%	0.0%	27,000	970,123	100,000	27,000
I-80 Joliet Corridor	118,692,838	6.1%	0.2%	6.4%	804,904	4,616,630	387,760	3,236,223
I-88 Corridor	74,829,704	3.6%	0.2%	3.9%	(363,041)	514,686	150,162	804,371
Lake County	77,655,088	4.7%	0.1%	4.8%	507,320	0	0	641,677
McHenry County	26,283,917	1.9%	0.0%	1.9%	(1,221)	76,200	0	28,974
North Cook	44,183,499	6.5%	0.6%	7.2%	(82,168)	82,125	0	0
Northwest Cook	29,698,531	6.9%	0.3%	7.2%	(262,444)	451,036	0	150,331
NW Indiana	53,169,739	2.7%	0.3%	3.1%	312,477	2,526,830	0	253,094
O'Hare	90,924,142	3.6%	0.4%	4.1%	722,116	1,100,980	66,196	2,668,980
SE Wisconsin	51,004,566	8.1%	0.2%	8.3%	452,893	237,788	0	1,127,052
South Cook	65,149,927	5.4%	0.1%	5.5%	(273,567)	341,887	0	213,782
Total	**1,178,010,299**	**5.2%**	**0.4%**	**5.6%**	**3,463,298**	**18,383,475**	**1,111,297**	**14,996,598**

Stream Chicago Industrial

Disclaimer: *This report is for informational purposes only and is based on data compiled by the Chicago Industrial research team. The analysis includes competitive, functioning industrial and flex properties of 25,000 square feet and above across the City of Chicago, surrounding suburbs, Northwest Indiana, and Southeast Wisconsin. Submarket boundaries have been independently defined by the Stream team to reflect local market conditions.*

The Stream Chicago Industrial team takes great pride in analyzing a deeply vetted inventory which currently consists of 9,944 of buildings totaling 1.2B SF. The team has thoroughly reviewed the inventory to confirm only active industrial assets are included while removing all incorrectly labeled points of data from typically widely accepted data sources.

Brokers, researchers, and analysts collaborate to actively review industrial inventory and market activity to maintain an accurate representation of the market. Ongoing efforts are constantly made to ensure accuracy and the information contained herein is subject to change and may contain errors or omissions.

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